

TO SELL USING THIS STRATEGY, TAKE THE FOLLOWING STEPS:

Set the chart to the 5-minute timeframe.

Apply pivot points standard to default settings.

Wait for the price to hover around a pivot point.

Look for a pullback #1- if the pullback is occurring without breaking the pivot point, it is a reversal trade.

Look for a pullback #2- if the pullback is occurring after breaking the pivot point, it is a trend continuation trade.

SELL entry will triggered when a bearish candle is formed after the pullback.

STOPLOSS is placed at the high of the candle.

TARGET is placed at the next pivot point, but, if the pivot point is near the entry candle, target would be set at the very next pivot point.

In the above illustration, we can observe that the market opened a gap-down on 23rd March 2023. Looking at the structure, it was clear that the market was turning weak as it was making higher highs on the previous trading sessions but with less momentum. Post that, a gap down opening indicated profit booking in Nifty 50. Still, with hope price continued to move till the R1 level but fell, and took a pullback at R1 again, which made clear with a reversal trade in the later hours of the market. With this strategy, we got a reversal trade which hit our target and ended up with profits.